FULL TEXT OF MEASURE K

SOUTHERN HUMBOLDT COMMUNITY HEALTHCARE DISTRICT GENERAL BOND MEASURE

INTRODUCTION

Southern Humboldt Community Healthcare District (the "District") is a major provider of health care services to communities in Southern Humboldt County and Mendocino County. The District operates Jerold Phelps Community Hospital, Southern Humboldt Community Clinic, Southern Humboldt Family Resource Center, Garberville Pharmacy and optometry services, and provides services including emergency care, inpatient care, skilled nursing, laboratory, radiology, physical therapy, primary care, and home health.

Over the next decade, the District faces a number of financial challenges to continue to provide community health care services. These include:

- A 77 year-old hospital facility which does not comply with upcoming State of California seismic and other building safety requirements (California Senate Bill 1953) which require that the facility be designed to structurally withstand earthquakes and remain open even when cut off from electricity and water.
- Difficulty in recruiting primary care and specialty care physicians due to age and current equipment of hospital facilities.
- Continuing and increasing costs needed to maintain hospital facility infrastructure.

The District needs to replace the existing hospital facilities with new hospital facilities. The proposed facility will provide a larger, state of the art emergency room, equipment for improved service levels and a helicopter stop for emergency life-flight transfers. A local general obligation bond was identified as a necessary component in meeting the capital financing needs of the District. The issuance of general obligation bonds will also provide the District with matching funds needed to obtain additional funding sources for the construction of new hospital facilities.

BOND AUTHORIZATION

By approval of this measure (the "Measure") by at least two-thirds of the qualified voters voting, the District shall be authorized to issue and sell bonds in the aggregate principal amount of $25,000,000 to provide financing or refinancing for hospital and health care facility projects consisting of improvement, acquisition, construction, and renovation of facilities for hospital and health care purposes at the District's hospital and sites, subject to all of the accountability safeguards specified in this Measure.

The Board plans and expects to use proceeds of the bonds authorized by this Measure to finance or refinance the improvement, acquisition, construction, and renovation of the District's hospital, facilities, and sites, which are expected to include the following project elements:

New Construction; Additions, Repairs and Upgrades to the District's Hospital, Facilities, and Sites

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- Construct a new hospital facility
- Repair, replace, construct, acquire, and upgrade new and additional emergency room facilities and operating rooms
- Repair, replace, construct, acquire, and upgrade District facilities, sites, and infrastructure
- Repair, replace, construct, acquire, and upgrade plumbing, electrical systems, elevators, ventilation, heating, cooling, medical gas systems, medical equipment, technology systems, lighting, emergency power and communications, safety and security systems, parking, vehicular and pedestrian access, restrooms, and major building systems
- Make and construct health and safety improvements, including Federal and State-mandated Americans with Disabilities Act (ADA) accessibility upgrades and acquisitions
- Construct life flight/heliport facilities to accommodate expedited life flight air transportation

Earthquake Safety Upgrades

- Upgrade District hospitals, facilities, and sites to meet upcoming State seismic requirements, including those outlined in California Senate Bill 1953 which require structural integrity and improved infrastructure that will allow the hospital stay open even when cut off from offsite utilities.

Each of the foregoing bond projects may include all incidental projects, including abatement and removal of hazardous materials, addressing unforeseen conditions revealed by construction and/or reconstruction, other improvements required to comply with existing building codes, and all work necessary and incidental to specific projects described above, including any demolition. Further, each of the bond projects includes the costs of furnishing and equipping such facilities, and all costs which are incidental but directly related to the types of projects described above. Examples of incidental costs include, but are not limited to, costs of design, engineering, architect and other professional services, facilities assessments, inspections, site preparation, utilities, landscaping, construction management and other planning and permitting, bond issuance, accounting and similar costs, demolition and disposal of existing structures, and federal and state-mandated safety measures and upgrades. Bond projects do not include money for administrator salaries or benefits or general operating expenses – see below.

The Board has reserved the right to finance authorized projects with the bonds as it deems advisable and necessary. The inclusion or specification of a project in the foregoing list is not a guarantee that such project will be constructed or completed, or that it will be constructed or completed as described above at any particular time or in any particular order of priority. Projects and upgrades will be completed as needed at a particular site according to Board-established priorities. This Measure authorized the financing of projects, and shall not be deemed to be an approval of any "project" for purposes of the California Environmental Quality Act.

All of the purposes enumerated in this Measure shall constitute the specific purposes of the bonds, and proceeds of the bonds shall be spent only for such purposes, pursuant to California Government Code Section 53410.

ACCOUNTABILITY MEASURES

No Money for Administrators' Salaries or Benefits - Proceeds from the sale of the bonds authorized by this Measure shall be used only for costs incurred in connection with expansion, improvement, acquisition, and construction of medical facilities, and the costs of the issuance of the bonds, and not for any other purpose, including staff and administrator salaries and other operating expenses.

Special Bond Proceeds Account, Annual Audit, and Report to Board – The Board hereby directs that a separate account shall be established for deposit of proceeds of the sale of bonds authorized by this Measure if the Measure is approved by the District Voters.

For so long as any proceeds of the bonds authorized by this Measure remain unexpended, the Chief Financial Officer of the District shall cause a report to be filed with the Board no later than five (5) months after the end of each fiscal year, commencing with the first fiscal year during which any proceeds of bonds authorized by this Measure shall have been received. The report shall state (1) the amount of bond proceeds received and expended in such fiscal year, and (2) the status of any projects funded or to be funded from the proceeds of bonds authorized to be issued by this Measure. The report may be incorporated into or filed with the audit or other appropriate routine report provided to the Board. Audited financial statements of the District will continue to be made available in accordance with applicable requirements.

OTHER TERMS OF BONDS

The bonds authorized by this Measure, in an aggregate principal amount of $25,000,000 shall be issued upon the order of the Board in one or more series and at one or more times as may be necessary and most advantageous to raise money for the purposes set forth herein.

The bonds shall bear interest payable at a rate not exceeding the legal limit.

The bonds, or any series thereof, shall have a maturity date no later than thirty (30) years following the date of issuance of such series (pursuant to the provisions of California Health and Safety Code Section 32303 or any law applicable at the time of issuance of such series).

The taxes levied pursuant to this Measure shall be collected in the same manner as *ad valorem* property taxes and applied towards the payment of principal of and interest on said bonds in accordance with California Health and Safety Code Section 32312.

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TAX RATE STATEMENT

An election will be held in the Southern Humboldt Community Healthcare District (the "District") on November 3, 2026 to authorize the sale of up to $25 million in general obligation bonds to finance the hospital projects as described in the bond measure. If such bonds are authorized, the District expects to sell the bonds in one or more series. The following information is submitted in compliance with Sections 9400-9404 of the Elections Code of the State of California. Such information is based upon the best estimates and projections presently available from official sources, upon experience within the District, and other demonstrable factors.

Based upon the foregoing and projections of the District's assessed valuation available at the time of this statement, the following information is provided:

1. The best estimate of the average annual tax rate that would be required to be levied to fund this bond issue over the entire duration of the bond debt service, based on estimated assessed valuations available at the time of filing of this statement, is 8¢ per $100 ($80 per $100,000) of assessed valuation. It is currently expected that the final fiscal year in which the tax will be collected is fiscal year 2052-53.

2. The best estimate of the highest tax rate that would be required to be levied to fund this bond issue, and an estimate of the year in which that rate will apply, based on estimated assessed valuations available at the time of filing this statement, or a projection based on experience within the same jurisdiction or other demonstrable factors, is 8¢ per $100 ($80 per $100,000) of assessed valuation of all property to be taxed for fiscal years 2027-28 through and including 2052-53; this tax rate is projected to apply in each fiscal year that the bonds are outstanding.

3. The best estimate of total debt service, including principal and interest, that would be required to be repaid if all the bonds are issued and sold will be approximately $50.4 million.

The attention of all voters is directed to the fact that the foregoing information is based upon projections and estimates only, which amounts are not maximum amounts and durations and are not binding upon the District. These estimates are based on projections derived from information obtained from official sources, and are based on the assessed value (not market value) of taxable property on the Counties' official tax rolls. In addition, taxpayers eligible for a property tax exemption, such as the homeowner's exemption, will be taxed at a lower effective tax rate than described above. Property owners should consult their own property tax bills and tax advisors to determine their property's assessed value and any applicable tax exemptions. The actual debt service, tax rates and the years in which they will apply may vary depending on the timing of bond sales, the par amount of bonds sold at each sale, and actual increases in assessed valuations. The timing of the bond sales and the amount of bonds sold at any given time will be determined by the District based on the need for project funds and other considerations. Actual assessed valuations will depend upon the amount and value of taxable property within the District as determined by each County Assessor in the annual assessment and the equalization process.

Chief Executive Officer of the Southern Humboldt Community Healthcare District

MEASURE K – continued

MEASURE K - IMPARTIAL ANALYSIS

HUMBOLDT COUNTY COUNSEL

SOUTHERN HUMBOLDT COMMUNITY HEALTHCARE DISTRICT

GENERAL OBLIGATION BOND MEASURE

Measure K is a bond measure placed on the ballot by the Southern Humboldt Community Healthcare District. The District seeks voter approval to issue general obligation bonds to fund capital improvements to hospital facilities, examples of which are included in the measure. These include a new hospital facility, an upgraded emergency room, flight and heliport facilities to accommodate expedited life flight air transportation, meeting upcoming seismic requirements, and complying with the Americans with Disabilities Act.

The measure would authorize the district to sell bonds in the amount of $25 million and levy a property tax to fund the repayment of the bonds. The district estimates that the average annual tax necessary to fund the repayment would be $8 per $100,000 of assessed property value, and that the total cost of debt service, including principal and interest, would be approximately $50.4 million. The measure requires a two-thirds vote to pass.

Generally, an ad valorum tax on real property may not exceed one percent of the full cash value of the property, pursuant to the California Constitution. (An ad valorem tax is a tax on real property as a percentage of the cash value of the property.) However, there is an exception that allows a greater ad valorem tax if it is used to pay the bonded indebtedness for the acquisition and improvement of real property, which has been approved by a two-thirds vote. One of the intended uses of the funds by the district is the acquisition of medical equipment. This likely does not fall within the constitutional exemption for the acquisition and improvement of real property.

Pursuant to Government Code Section 53410, a bond measure submitted to the voters must have a statement indicating the specific purpose of the bonds and a requirement that the bond funds will be used only for these specific purposes, the creation of an account into which the bond proceeds will be deposited, and an annual report containing the amount of the funds collected and expended and the status of any project authorized to be funded. Measure K complies with these requirements.

Submitted via Humboldt County Counsel

MEASURE K – continued

ARGUMENT IN FAVOR

MEASURE K

For victims of heart attacks, strokes and accidents, seconds can mean the difference between life and death. Measure K ensures our community will have access to life-saving medical care when we need it most.

Jerold Phelps Community Hospital is Southern Humboldt County's only hospital, serving residents living in a 450 square mile radius. Built 77 years ago in a converted home, the hospital does not meet current standards for health, safety, or access for the disabled. The roof, floors, and plumbing are all failing. State law requires the building be replaced with a modern facility in the next 3 years or be closed.

Closure of the hospital will be catastrophic to many members of our community, especially those in areas that can be cut off from outside help during fires, earthquakes, storms, and other emergencies.

Measure K will provide the funds to build a modern hospital with state-of-the-art Emergency Rooms and medical technology for improved patient care and shorter wait times. The hospital will also offer advanced medical treatments and services that are not currently available locally, including bone density scans, MRI services, and a lifesaving helicopter stop, eliminating the need for residents to travel many miles outside of the county for health services.

Measure K funds will be combined with other funding sources including grants and donations to reduce the cost to local taxpayers. A citizen's oversight committee consisting of local residents will ensure no bond funds will be spent until matching funds are available to reduce the cost to local taxpayers.

Having a local hospital to serve our community is essential, which is why Measure K is supported by first responders including firefighters, paramedics, doctors and nurses.

A new hospital will provide critically needed local jobs helping to strengthen our local economy.

Please vote Yes on Measure K.

/s/ Yvonne Hendrix
Yvonne Hendrix
Director, Southern Humboldt Chamber of Commerce

/s/ Seth Ayers
Seth Ayers
Chief, Redway Fire Protection District

/s/ Carolyn Hino-Bourassa
Carolyn Hino-Bourassa
Local Pharmacist, volunteer & taxpayer

/s/ Christina Huff
Christina Huff
Nonprofit Board Member & local taxpayer

/s/ Shawn Masterson
Shawn Masterson
Business owner & community volunteer

NO ARGUMENT AGAINST MEASURE K WAS SUBMITTED.